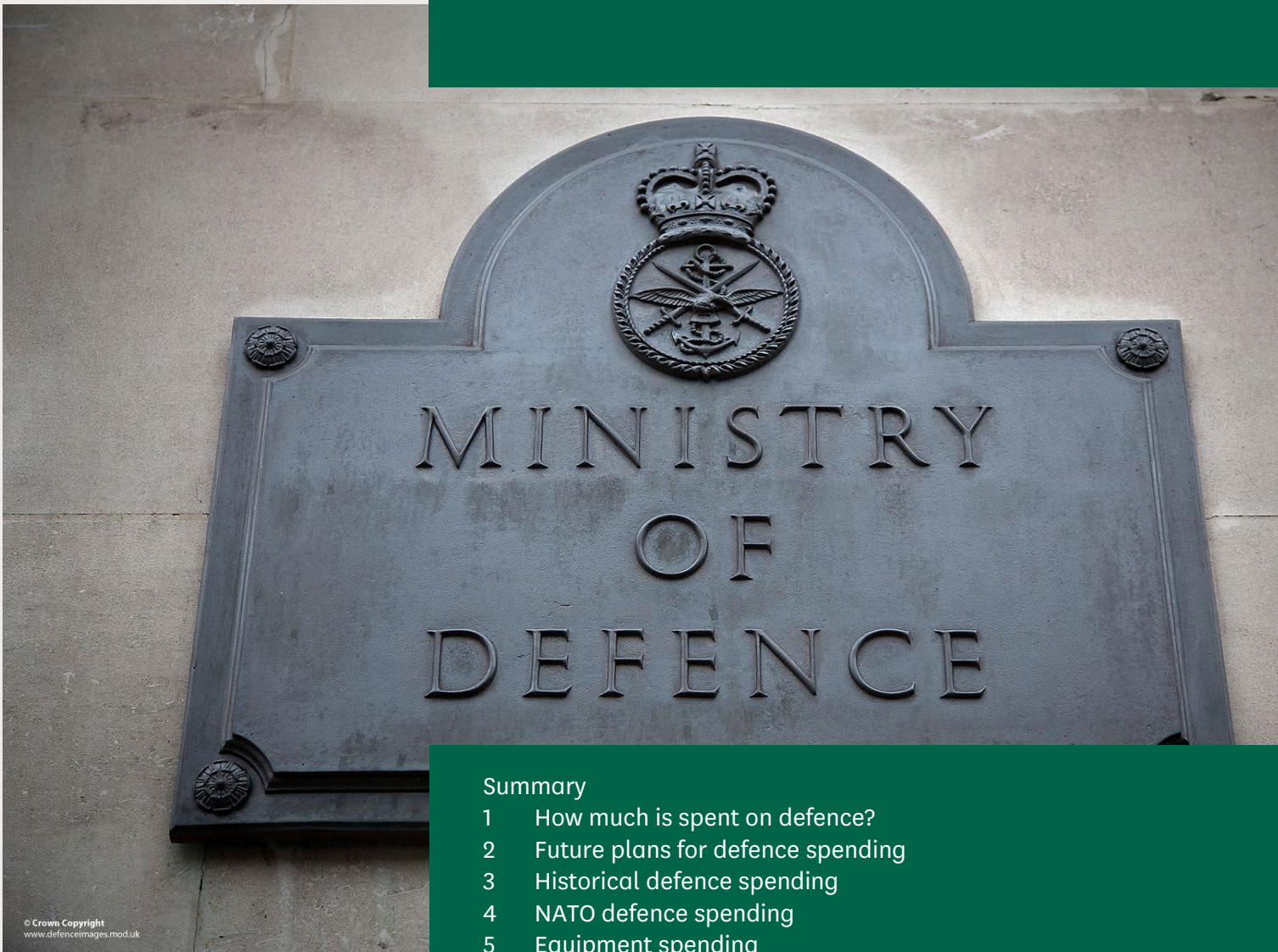


Research Briefing

9 October 2025

By Esme Kirk-Wade

UK defence spending



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Summary

- 1 How much is spent on defence?
- 2 Future plans for defence spending
- 3 Historical defence spending
- 4 NATO defence spending
- 5 Equipment spending
- 6 Military operations

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Summary

How much does the UK spend on defence?

In the 2024/25 financial year, [the UK spent £60.2 billion on defence](#).

Spending plans set out in the [2025 Spending Review](#) show that defence spending is expected to total £62.2 billion in 2025/26, increasing to £73.5 billion in 2028/29. This is equivalent to an annual average real-terms growth rate of 3.8% over this period.

Continuing recent trends whereby investment spending has been prioritised over day-to-day spending, a large portion of this additional funding has been allocated to capital budgets. In 2024/25 the Ministry of Defence (MOD) had the largest capital budget of any government department, and is expected to continue to do so in future years.

How has defence spending changed recently?

Real-terms defence spending fell by 22% between 2009/10 and 2016/17 (from £59.2 billion to £46.2 billion in 2024/25 prices). It then started to rise again, recently returning to its 2010 levels.

Real-terms spending has increased steadily since 2016/17, and is expected to continue to do so.



Source: MOD, [Defence departmental resources: 2024](#); HM Treasury, [Public Expenditure Statistical Analyses 2025](#), Table 1.10; HM Treasury, [GDP deflators, September 2025 \(Quarterly National Accounts\)](#)

Historical defence spending

When looking at longer term trends, defence spending as a percentage of GDP had been falling for decades before stabilising in recent years, whereas real terms spending has fluctuated. This reflects GDP growing by more than defence spending.

[Defence spending increased during the Cold War](#), reaching a peak in the mid-1980s, followed by a period of decline. Spending increased again due to the conflicts in Afghanistan and Iraq, before declining and then increasing again in line with recent spending commitments. Today's real-terms defence spending has almost returned to Cold War peak levels.

Commitments to increase defence spending to 2.5% of GDP and above

When defence spending targets are discussed as a percentage of GDP, this usually relates to spending that meets [the NATO definition of defence expenditure](#), rather than total departmental expenditure by the MOD. The NATO definition is a broader measure of defence spending than MOD expenditure, meaning NATO figures are higher than the departmental spending figures.

As a member of NATO, the UK is committed to spending at least 2% of GDP on defence expenditure that meets NATO's definition each year. For the first time, all member states are expected to meet or exceed the 2% target in 2025. The latest NATO estimates show that the [UK is expected to spend 2.4% of GDP on defence in 2025](#).

In February 2025 the government committed to [increase defence spending, according to the NATO definition, to 2.5% of GDP by 2027](#), or 2.6% of GDP when including additional elements of security and intelligence spending. It has since further [committed to increase spending to 3.5% of GDP by 2035](#), in line with a new NATO target.

The previous Conservative government had committed to [increase defence spending to 2.5% of GDP by 2030](#).

1

How much is spent on defence?

Details of UK defence spending are published in the [Ministry of Defence \(MOD\)'s annual reports and accounts](#). Information on spending over time can be found in its annual [defence departmental resources](#) publication. The headline figure for defence spending is the Total Departmental Expenditure Limit (TDEL).¹

The table below shows the reported spending on defence between 2014/15 and 2024/25, in both cash and real terms (at 2024/25 prices).

Current defence expenditure				
Reported outturn spending (TDEL)				
	Amount (£bn)		Real terms change on previous year	
	Cash	Real terms (2024/25 prices ^{a)}	£bn	%
2014/15	34.4	46.2	-	-
2015/16	35.1	46.9	+0.7	+1.4%
2016/17	35.3	46.2	-0.7	-1.5%
2017/18	36.6	47.4	+1.1	+2.4%
2018/19	38.0	48.1	+0.7	+1.6%
2019/20	39.8	49.1	+1.0	+2.1%
2020/21	42.4	50.8	+1.7	+3.6%
2021/22	45.9	53.7	+2.8	+5.6%
2022/23 ^{b)}	52.8	57.6		
2023/24	53.9	55.9		
2024/25	60.2	60.2	+4.3	+7.7%
Change 2014/15 to 2024/25:			+14.0	+30.2%

Note: a) GDP deflator growth for 2020/21 and 2021/22 has been averaged across the two years to smooth distortions caused by pandemic-related factors. b) The MOD budget for 2022/23 included an uplift of around £3 billion to finance the implementation of accounting standard IFRS 16 (a non-cash movement). Expenditure should not be directly compared with other years.

Source: MOD, [Defence departmental resources: 2024](#); HM Treasury, [Public Expenditure Statistical Analyses 2025](#), Table 1.10; HM Treasury, [GDP deflators at market prices, September 2025 \(Quarterly National Accounts\)](#), 1 October 2025

¹ TDEL is the sum of resource and capital expenditure, minus depreciation and impairments.

In the 2024/25 financial year, the UK spent £60.2 billion on defence. This is a cash increase of £6.3 billion compared with 2023/24. After adjusting for inflation, defence spending increased by £4.3 billion (7.7%).

Over the 10 years from 2014/15 to 2024/25, annual defence spending increased in real terms by a total of £14.0 billion (30.2%).

Most of this additional funding has been allocated to capital budgets (expenditure on acquiring or maintaining fixed assets, such as equipment or land). Between 2014/15 and 2024/25, capital spending more than doubled in real terms, increasing by £12.2 billion (116.6%).²

In comparison, over the same period, real terms day-to-day spending (resource DEL excluding depreciation) increased by £1.7 billion (4.8%).³

At £22.7 billion, the MOD had the largest capital budget of any government department in 2024/25. Capital spending accounted for 38% of total MOD expenditure that year, up from 22% in 2015/16.⁴

The chart below shows a longer time series of spending since 2003/04. After a period of fairly steady increase, real terms defence spending fell by 22% between 2009/10 and 2016/17 (from £59.2 billion to £46.2 billion in 2024/25 prices). It then started to rise again, returning to its 2010 levels.

Real-terms defence spending has increased each year since 2016/17, with the exception of 2023/24, and is expected to continue to do so. However, the fall in expenditure in 2023/24 is likely to be an artefact of technical adjustments to the 2022/23 budget to finance the implementation of the new accounting standard, IFRS 16, rather than a decrease in available resource.⁵

² HoC Library calculations using HM Treasury, [Public Expenditure Statistical Analyses 2025](#), Table 1.8 and HM Treasury, [GDP deflators at market prices, September 2025 \(Quarterly National Accounts\)](#)

³ HoC Library calculations using HM Treasury, [Public Expenditure Statistical Analyses 2025](#), Table 1.5 and HM Treasury, [GDP deflators at market prices, September 2025 \(Quarterly National Accounts\)](#)

⁴ HM Treasury, [Public Expenditure Statistical Analyses 2025](#), Tables 1.8 and 1.10

⁵ [Around £3 billion in capital expenditure was included in the MOD budget for 2022/23](#) to reflect the implementation of a new accounting standard, known as IFRS 16, which governs how leases are treated in departmental accounts. This was a non-cash movement, meaning it had no impact on the department's actual spending in that year. While budget cover for IFRS 16 will also be required for future years, the adjustment in 2022/23 was particularly high because it captured all preexisting leases, whereas going forward only new leases will need to be accounted for.



Source: MOD, [Defence departmental resources: 2024](#); HM Treasury, [Public Expenditure Statistical Analyses 2025](#), Table 1.10; HM Treasury, [GDP deflators at market prices, September 2025 \(Quarterly National Accounts\)](#), 1 October 2025

1.1

Where in the UK is defence money spent?

It is not possible to identify the amount of defence spending that goes to different parts of the country. This is because the majority of defence expenditure is considered to be ‘non-identifiable’, meaning it is incurred for the benefit of the UK as a whole rather than a particular country or region.

Statistics on [MOD regional expenditure with industry](#) are available and shown in the table below. Do note, defence expenditure with industry represents only part of total defence spending in a region.

Defence industry statistics by region

Defence expenditure with industry is how much the MOD spends on contracts with defence firms. More information can be found in the [Library briefing on the contribution of the defence industry to UK regions](#). The latest figures available are for 2024/25, when MOD expenditure with industry amounted to £31.7 billion, accounting for an average of £460 per person in the UK.⁶

As shown in the table below, the South East saw the highest amount of MOD spending with industry at £7.1 billion, but the South West saw the highest spending on a per-person basis (£1,120 per person).

⁶ MOD, [Regional expenditure statistics with industry: 2023/24](#), 21 November 2024

MOD expenditure with UK industry by region, 2024/25

	Total spend (£bns)	Spend per person (£)
South East	7.9	810
South West	6.6	1,120
North West	4.8	620
London	3.0	330
Scotland	2.1	390
West Midlands	1.7	270
East of England	1.6	250
East Midlands	1.6	310
Wales	1.1	340
Yorkshire and The Humber	1.0	170
Northern Ireland	0.3	140
North East	0.2	60
UK total	31.7	460

Source: [MOD regional expenditure statistics with industry: 2024/25](#), 11 September 2025, tables 2 and 4

Defence expenditure with industry is based on MOD contracts with industry, so can vary from year to year depending on when large contracts are signed. The figures do not include defence companies' own investments.

The MOD also publishes [estimates for the number of jobs supported by MOD expenditure with industry by region](#).⁷

Defence industry spend by constituency

Statistics on the defence industry are not available by constituency, because the industry is complex and difficult to define in official statistics.

The defence industry is difficult to define because there is no [Standard Industrial Classification \(SIC\) Code](#) or collection of codes that identifies defence companies well.⁸ Many of the major defence manufacturers are companies that span different activities, not all of which are necessarily defence related. For example, Rolls Royce and Airbus manufacture both civilian and defence aerospace engines and aircraft. Supply chain companies are even more difficult to identify, as many products and services supplied to the defence industry will have other applications.

Additionally, data sources typically classify companies based on their head office location, and most large defence companies will have multiple sites (some of which will involve non-defence activities). There are also commercial

⁷ MOD, [MOD supported employment estimates 2022/23](#), 19 September 2024

⁸ Standard Industrial Classification (SIC) codes are the industry groupings used in official data sources and the UK company register.

and/or security reasons for why the specific activities or suppliers of defence companies are not published.

Some organisations have compiled maps of defence industry sites:

- The [Aerospace Defence and Space Group](#) (ADS) is the trade body for the defence industry and it compiles data using official statistics together with information from their members. There is a map of ADS defence sector member sites on page 9 of their [Defence Sector Outlook report 2025](#), along with data on employment in each region.
- The [Campaign Against Arms Trade](#) (CAAT), which describes itself as a UK-based organisation working to end the international arms trade, has compiled information about companies operating in arms trade. It produces a [map and list of arms companies operating in the UK](#), first released in 2011, that can be searched by place or postcode.⁹

1.2

Support for Ukraine

To date, the UK has committed £10.8 billion in military support to Ukraine between February 2022 (when Russia invaded the country) and March 2026.¹⁰ This funding for Ukraine is being met from the Treasury Reserve, rather than coming from the MOD's core budget, although it does contribute to MOD spending figures as published in the national accounts.¹¹ For further information, see the Library Insight [Public spending: What is the Treasury Reserve?](#).

The Labour government has said UK support to Ukraine “remains steadfast”.¹² At the 2024 NATO summit in Washington, Prime Minister Keir Starmer pledged £3 billion a year in military support to Ukraine until 2030/31, or for as long as it is needed.¹³ That commitment was reiterated in the [UK-Ukraine 100-year partnership agreement](#) concluded in January 2025.

In addition to military aid that is being gifted to Ukraine, the UK government is providing a one-off loan of £2.26 billion as part of the [G7 Extraordinary Revenue Loans agreement \(ERA\)](#) (PDF). G7 countries agreed that these loans will be “serviced and repaid” by future proceeds generated by immobilised Russian assets in the EU and other relevant jurisdictions.¹⁴

⁹ CAAT, [Innovative map reveals extent of arms industry in UK](#), 14 September 2012

¹⁰ HM Government, [UK support to Ukraine: Factsheet](#), 30 April 2025

¹¹ [HC Deb 26 January 2023 \[Ukraine update\]](#), vol 726, c1204. The Library research briefing, [Revised government spending plans for 2023/24](#) explains Supplementary Estimates in further detail.

¹² Ministry of Defence, [News Story: Defence Secretary pledges to step up support for Ukraine on visit to Odesa](#), 7 July 2024

¹³ Prime Minister's Office, [Press release: UK to stand with Ukraine for as long as it takes, PM to tell NATO](#), 10 July 2024

¹⁴ The White House, [G7 Apulia Leaders' Communiqué](#), 14 June 2024

The loan is to be paid out in three instalments, the first two of which were sent in March and April 2025, with the final payment due in 2026.¹⁵ The government says this will be spent purchasing military equipment via the MOD on behalf of the Government of Ukraine.¹⁶

Further information is available in the Library briefing, [Detailed timeline of UK military assistance to Ukraine \(February 2022 to present\)](#).

¹⁵ Ministry of Defence, [UK sends multi-million pound military equipment loan to Ukraine](#), 14 April 2025

¹⁶ HM Treasury, [Autumn Budget 2024](#), Table 5.1

2

Future plans for defence spending

The government announced the outcome of its Spending Review in June 2025. These reviews fix departmental spending plans for the years ahead. The [2025 Spending Review](#) set out departmental Resource DEL spending plans for 2026/27 to 2028/29 and departmental Capital DEL spending plans for 2026/27 to 2029/30.

Spending plans set out in the Spending Review indicate that defence spending is expected to total £62.2 billion in cash terms in the 2025/26 financial year, increasing by 18.2% to £73.5 billion in 2028/29 (an £11.3 billion cash increase).¹⁷

After adjusting for inflation, the increase in spending is around 11.8% (a £7.2 billion real terms increase). This is equivalent to an annual average real-terms growth rate of 3.8% between 2025/26 and 2028/29.¹⁸

Continuing recent trends whereby investment spending has been prioritised over day-to-day spending (as discussed in section 1.1), a large portion of this additional funding has been allocated to capital budgets. The Ministry of Defence received the largest proportional increase in Capital DEL of any department in the Spending Review. In 2028/29, capital spending is expected to reach 43% of total spending.

Figures published in spending plans may not include all elements of one-off or time-limited spending that are ultimately included in outturn figures.

The Ministry of Defence (MOD)'s Spending Review settlement is intended to support the ambitions set out in the [Strategic Defence Review](#), published in June 2025, which sets the overall objectives for UK defence over the next ten years.¹⁹

The Spending Review listed several specific uses of defence funding which will be included in the Defence Investment Plan, due to be published this autumn.²⁰ These are all expressed in terms of total investment over the current Parliament, and include:

- £15 billion for a sovereign warhead programme

¹⁷ HM Treasury, [Spending Review 2025 unrounded departmental Resource DEL, Capital DEL and Total DEL tables](#), June 2025, Table 5.1

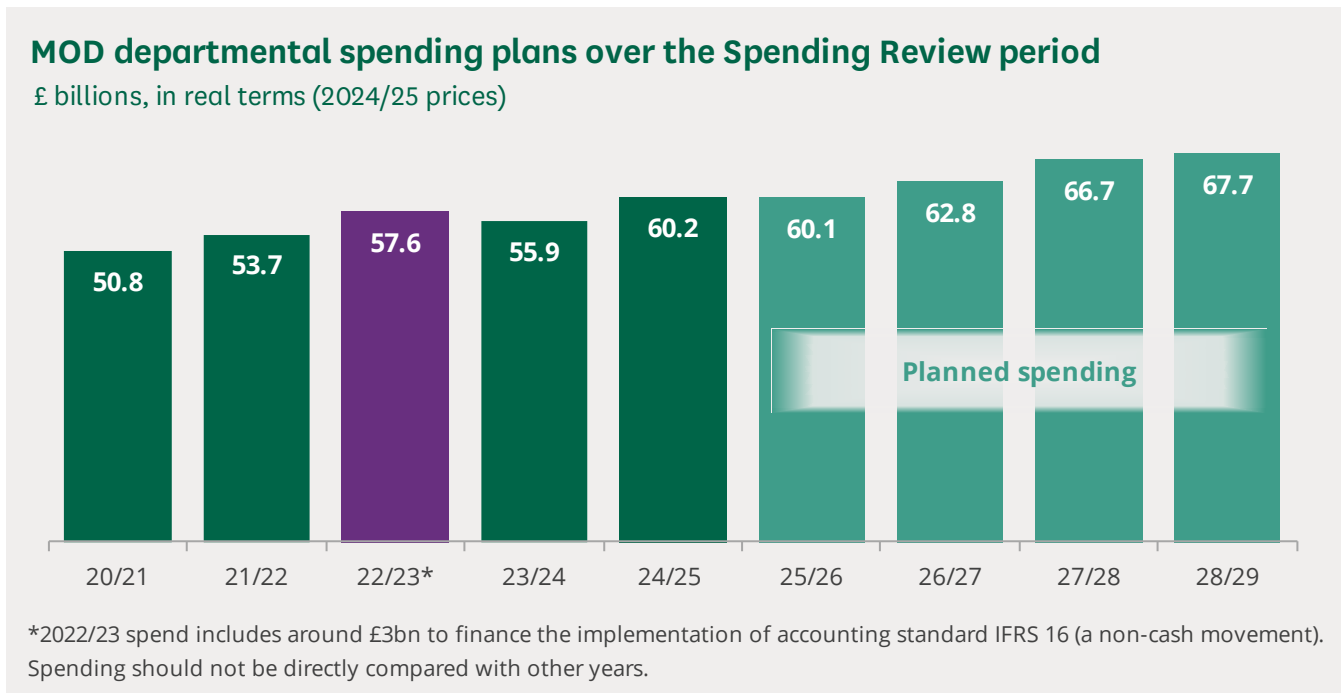
¹⁸ HM Treasury, [Spending Review 2025 unrounded departmental Resource DEL, Capital DEL and Total DEL tables](#), June 2025, Table 5.1; HM Treasury, [GDP deflators at market prices, September 2025 \(Quarterly National Accounts\)](#), 1 October 2025

¹⁹ HM Treasury, [Spending Review 2025](#), June 2025, para 5.63

²⁰ [HC Deb 8 September 2025 c583](#)

- At least £7 billion for renewal of military accommodation
- £6 billion for munitions
- Over £4 billion for autonomous systems (such as drones)
- Nearly £1 billion for a laser-directed energy weapon

The chart below shows MOD departmental spending plans adjusted to 2024/25 prices.



Source: HM Treasury, [Public Expenditure Statistical Analyses 2025](#), Tables 1.10 and 1.18; HM Treasury, [GDP deflators at market prices, September 2025 \(Quarterly National Accounts\)](#), 1 October 2025

2.1 Plans to increase defence spending to 2.5% of GDP and above

1 NATO-qualifying defence spending

When defence spending targets are discussed as a percentage of GDP, this usually relates to spending that meets [the NATO definition of defence expenditure](#), rather than total departmental expenditure by the MOD. The NATO definition is a broader measure of defence spending than MOD expenditure, meaning the NATO figure is higher than the departmental spending plans. For more information, see section 4.1 of this briefing.

As a member of NATO, the UK has committed to spending at least 2% of GDP on defence. The latest NATO estimates show that the UK spent 2.3% of GDP on defence in 2024 and is expected to spend 2.4% in 2025.²¹

The government has committed to increase defence spending, according to the NATO definition, to 2.5% of GDP by 2027, or 2.6% of GDP when including additional elements of security and intelligence spending. It has further committed to increase spending to 3.5% of GDP by 2035, in line with a new NATO target. Both commitments are discussed in further detail below.

Commitment to increase spending to 2.5% of GDP

In February 2025, the Prime Minister, Sir Keir Starmer, made a statement to the House of Commons in which he committed to spend 2.5% of GDP on defence by 2027, with an ambition to increase this to 3% in the next Parliament.²²

The Prime Minister said this will be funded by a decrease in international aid spending, from 0.5% of Gross National Income (GNI) to 0.3% from 2027.²³ This is discussed in further detail in the Library briefing, [UK aid: Reducing spending to 0.3% of GNI by 2027/28](#).

The policy recommendations set out in the Strategic Defence Review were made and costed within the context of this planned spending increase.²⁴

In its March 2025 Economic and Fiscal Outlook, the Office for Budget Responsibility estimated that reaching 3% of GDP by the next parliament would cost an additional £17.3 billion in 2029/30.²⁵

The previous Conservative government had committed to increase defence spending to 2.5% of GDP by 2030.²⁶ Likewise, in its manifesto ahead of the 2024 general election, the Labour Party pledged that a Labour government would “set out the path to spending 2.5 per cent of GDP on defence”.²⁷

Including security and intelligence within the definition

The Prime Minister said in his February 2025 announcement that the UK would be spending 2.6% of GDP on defence from 2027 if additional elements of intelligence spending are included. The accompanying press release said:

In addition to our plan to reach 2.5%, the Prime Minister also announced that the definition of defence spending will be updated to recognise what our

²¹ NATO, [Defence Expenditure of NATO Countries \(2014-2025\)](#), 28 August 2025, Table 3

²² [HC Deb 25 February 2025 c631](#). NATO-qualifying defence spending is expected to reach 2.6% in 2027 due to the inclusion of elements of security and intelligence spending.

²³ [HC Deb 25 February 2025 c633](#)

²⁴ Ministry of Defence, [The Strategic Defence Review 2025](#), 2 June 2025

²⁵ OBR, [Economic and fiscal outlook – March 2025](#), 26 March 2025, p16

²⁶ Cabinet Office, [Defending Britain](#), 23 April 2024

²⁷ Labour Party, [Labour Party manifesto 2024](#), June 2024, p15

security and intelligence agencies do to boost our security, as well as our military. This change means that the UK will now spend 2.6% of GDP on defence in 2027.²⁸

More recent statements from the government have confirmed that, by 2027, the whole of the Single Intelligence Account (SIA) budget will count towards NATO qualifying defence spending. This does not mean that intelligence spending is being brought into the core MOD budget.²⁹

Spending commitments to the SIA

The SIA funds the security and intelligence agencies: the Secret Intelligence Service (SIS/ MI6), Government Communications Headquarters (GCHQ) and the Security Service (MI5).³⁰

The single intelligence account was allocated a budget of £4.5 billion in 2025/26 in the 2025 Spending Review, increasing to £5.4 billion in 2028/29.³¹

Previous inclusion of the single intelligence account in defence spending

The NATO definition of defence spending does not explicitly reference intelligence services. However, the UK Government has for some years included elements of spending from the single intelligence account, and from cross-government security funds, in its submission to NATO.³²

In 2015, the government's summer budget indicated that it would meet the 2% of GDP target by "allowing for all of the public spending that supports the Ministry of Defence and the contribution made by the secret intelligence agencies".³³

The Defence Committee concluded that this was "a new addition in the UK's reporting of defence expenditure" and that inclusion of UK intelligence funding is a "significant factor in the composition of the 2% commitment".³⁴ The government said in response that "in line with NATO guidelines, we include all government spending that contributes to defence in our overall defence spending figures", including "elements of the Government's cyber security spending".³⁵

²⁸ Prime Minister's Office press release, [Prime Minister sets out biggest sustained increase in defence spending since the Cold War, protecting British people in new era for national security](#), 25 February 2025

²⁹ [PQ 66218 \[Defence: Finance\]](#), answered 14 July 2025

³⁰ Cabinet Office, [Security and intelligence agencies financial statement 2023-24](#), 2 December 2024

³¹ HM Treasury, [Spring Statement 2025](#), 26 March 2025

³² The name of these funds has changed over the years, from the [Joint Security Fund](#) created in the 2015 budget to the [Conflict Stability and Security Fund](#) and, from 2023, the [Integrated Security Fund](#).

³³ HM Treasury, [Summer Budget 2015](#), 8 July 2015, para 1.84

³⁴ Defence Committee, [Shifting the goalposts? Defence expenditure and the 2% pledge](#) (PDF), 12 April 2016, HC 494 2015-16, para 39

³⁵ Defence Committee, [Government response: Shifting the goalposts? Defence expenditure and the 2% pledge](#) (PDF), 30 June 2016 HC 465 2016-17, page 3

Statements by subsequent governments indicate that elements of the single intelligence account have continued to be counted as defence expenditure for NATO purposes.³⁶

A new NATO commitment to spend 3.5% of GDP

At the 2025 NATO summit in the Hague, members of NATO agreed to increase the proportion of GDP spent on defence and national security to 5% of GDP by 2035. This pledge consists of two parts:

- Allocating at least 3.5% of GDP to spending on core defence requirements, in line with the NATO definition.
- Spending a further 1.5% of GDP on defence and security-related investments, including infrastructure and building industrial capacity.³⁷

This commitment was made after departmental budgets were set at the 2025 Spending Review, and so is not incorporated into these spending plans.

In statement to the House of Commons, the Prime Minister told MPs that, based on this new two-part definition of defence spending, the government estimates that it will “will reach at least 4.1% of GDP in 2027, on the way to 5% by 2035”:

Together, we signed a new defence investment pledge of 5% of GDP by 2035, including, for the first time, wider issues of homeland security and national resilience, like protecting our cyber-security and our energy networks. This is in lockstep with our national security strategy and we are already investing in these areas. Under NATO’s new definitions, we estimate that we will reach at least 4.1% of GDP in 2027, on the way to 5% by 2035.

Allies also agreed to review both the balance and the trajectory of these requirements in 2029 to coincide with the scheduled review of NATO’s capability requirements, ensuring that we keep pace with threats and technologies as they evolve.³⁸

This implies that the government expects to be meeting the 1.5% additional commitment on defence and security-related investments by 2027, alongside the 2.6% of GDP it expects to be spending on core defence.

³⁶ For example, in its [pledge to increase defence spending to 2.5% by 2030](#), the previous conservative government indicated that additional NATO-qualifying spending outside of the MOD “includes parts of the Single Intelligence Account”.

³⁷ NATO, [Defence expenditures and NATO’s 5% commitment](#), 27 August 2025

³⁸ [HC Deb 26 June 2025 c1262](#)

3

Historical defence spending

Change to resource accounting and budgeting

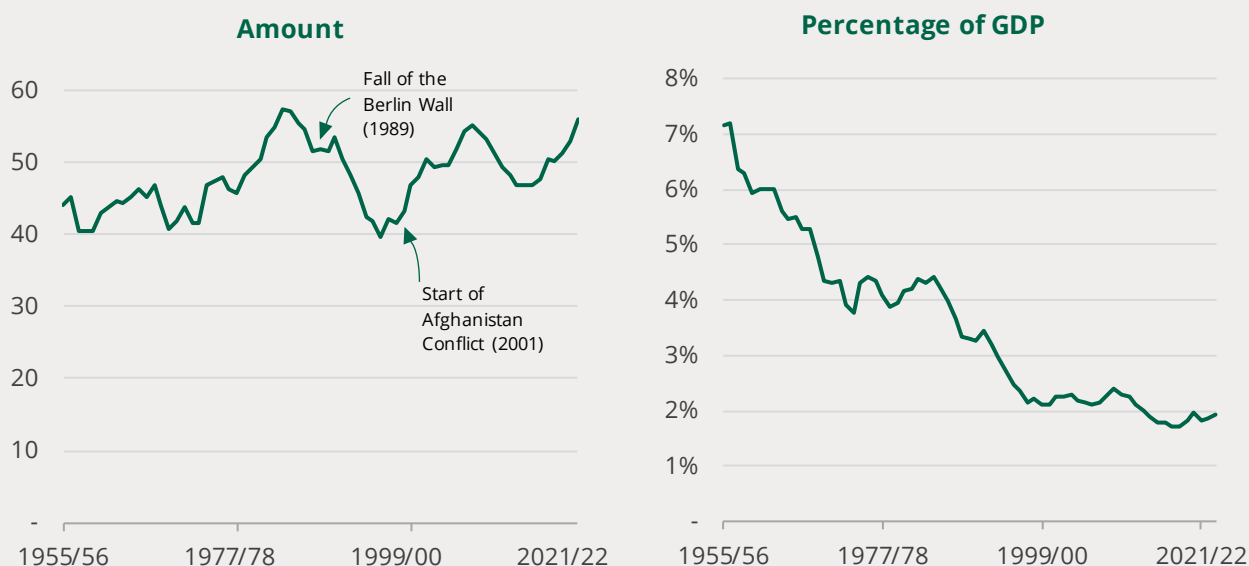
In the early 2000s, [government accounts changed from cash accounting to resource accounting and budgeting \(RAB\)](#). This disrupted the comparability of data from before and after the changes were implemented.

The ‘net cash requirement’ (NCR) is the closest comparable figure to the cash totals previously published. This represents the total cash amount needed by the department to carry out its functions, excluding any non-cash items such as depreciation or provisions. The NCR can be used alongside the old-style cash figures to produce a longer time-series.

The charts below show Ministry of Defence (MOD) expenditure since the 1950s. These figures are not comparable with those in the table on page 6, as explained in the box above. When looking at longer term trends, defence spending as a percentage of GDP had been falling for decades before stabilising in recent years, whereas real terms spending has fluctuated. This reflects GDP growing by more than defence spending.

Historical defence expenditure, 1955/56 to 2023/24

£ billions, real terms 2024/25 prices



Notes: Uses MOD cash figures and the NCR. This series allows comparison before and after RAB implementation. GDP deflator growth for 2020/21 and 2021/22 has been averaged to smooth distortions caused by pandemic-related factors.

Source: B R Mitchell, British Historical Statistics, 1988; MOD, [UK Defence Statistics](#) [accessed via National Archives] (various editions); MOD, [Annual Report and Accounts](#) (various editions); HM Treasury, [GDP deflators, September 2025 \(Quarterly National Accounts\)](#), 1 October 2025

Defence spending increased up to the mid-1980s, reflecting the UK's contribution to NATO's commitments in the Cold War.³⁹ In real terms, this measure of MOD expenditure peaked in 1984/85 at £57.5 billion (in 2024/25 prices), which was the highest level of expenditure in the period shown.

This was followed by a fall in spending towards the end of the Cold War, although the Gulf War in 1991 caused a temporary rise.⁴⁰

More recently, spending increased again due to [the conflicts in Afghanistan](#) and Iraq, reaching a high of £55.1 billion in 2009/10 before declining and then increasing again. Today's spending has almost returned to Cold War peak levels in real terms, reaching £56.1 billion in 2023/24.

As a percentage of GDP, defence spending has fallen fairly steadily over the period shown in the chart above, from around 7% in the 1950s to around 2% today.

Defence spending as a percentage of GDP is dependent on both changes to defence expenditure and to the GDP estimate.

These figures should not be compared with the NATO 2% target as they relate to departmental expenditure by the MOD, rather than defence spending according to the NATO definition, which is a wider measure (section 4.1 of this briefing covers the NATO definition in further detail).

³⁹ MOD, [Defence departmental resources: 2024](#), 28 November 2024

⁴⁰ As above

4

NATO defence spending

International comparisons of defence spending should be made with caution, as several factors can distort the results.

One important factor is the suitability of the exchange rates used to convert expenditures in different currencies to a common basis. Market exchange rates fluctuate and are not necessarily an accurate reflection of the purchasing power of different currencies. This could overstate the defence spending of some countries compared to others.⁴¹

The definition of what counts as defence spending may also differ between countries. For example, some countries may count spending on a nationally armed police force as defence spending, while others may not.

The way the military sector acquires resources can also differ between countries. For example, a country that recruits its armed forces by conscription (compulsory enrolment) might have lower total defence spending than a country with a fully professional force because conscripted forces might be paid lower wages.

The following sub-sections discuss NATO defence expenditure targets and present international comparisons of defence expenditure based on the NATO definition for its member countries.

4.1

NATO's defence expenditure definition

The North Atlantic Treaty Organisation (NATO) is a political and military alliance of 32 countries from Europe and North America.

NATO collects defence expenditure data from its member states. Each country's Ministry of Defence reports current data and future estimates according to an agreed definition of defence expenditure. NATO defines defence expenditure as “payments made by a national government specifically to meet the needs of its armed forces, those of Allies or of the Alliance”.⁴²

⁴¹ An alternative approach is to use purchasing power parity exchange rates, which control for differences in price levels between economies. The strengths and limitations of these different approaches are discussed in further detail in: International Institute for Strategic Studies, [Military Expenditure: Transparency, Defence Inflation and Purchasing Power Parity](#), 20 December 2022

⁴² NATO, [Defence Expenditure of NATO Countries \(2014-2023\)](#), 14 March 2024, p15

Expenditure is counted as being ‘defence expenditure’ if it falls within one (or more) of the following areas:

- Expenditure on the armed forces and “other forces” (such as national police, border guards and coast guards).
 - Expenditure on “other forces” should only be included in relation to forces that are trained in military tactics, are equipped as a military force, can operate under direct military authority in deployed operations, and can be deployed outside national territory in support of a military force.
- Pensions to military and civilian personnel of military departments.
- Peacekeeping, humanitarian operations, and weapon control (such as the destruction of weapons, equipment and ammunition).
- Research and development (both for successful and unsuccessful equipment).
- Expenditure for the military component of mixed civilian-military activities, but only when this military component can be specifically accounted for or estimated.
- Military or financial assistance to support the defence of an ally or partner country.⁴³
- Expenditure towards NATO common infrastructure.⁴⁴

How the UK defines NATO defence expenditure

In 2014/15, the UK changed the way it reported defence expenditure to NATO, including several items that had not been included previously.

These new items were estimated by Malcolm Chalmers, the deputy director general of the defence think tank RUSI, as:

- war pensions (£820 million),
- contributions to UN peacekeeping missions (£400 million),
- pensions for retired civilian MOD personnel (£200 million) and

⁴³ With respect to partner countries, money provided by government departments other than the Ministry of Defence, through international organisations other than eligible NATO-managed trust funds, or in the form of direct military aid, is not eligible.

⁴⁴ NATO, [Defence expenditures and NATO's 2% guideline](#), 5 April 2024

- a large portion of MOD income (revenue earned by MOD- around £1.4 billion).⁴⁵

As set out in section 2.1, the UK also counts elements of the single intelligence account towards the NATO definition.

In 2016 the Defence Committee of the House of Commons published its inquiry into UK defence expenditure and the government's commitment to the meet the NATO 2% target (see below). It found that the target would not have been fulfilled if UK accounting practices had not been modified, "albeit in ways permitted by NATO guidelines".⁴⁶

4.2 NATO spending targets

At the heart of NATO is Article 5, which states that an attack against one member state shall be considered as an attack against them all. This does not necessarily commit an ally to military action in the event of an attack. Instead, it requires members to assist the party or parties attacked with "such action it deems necessary, including the use of armed force, to restore and maintain the security of the North Atlantic area".⁴⁷

Given Article 5's obligation, member states are advised to maintain adequate defence spending levels, so they have the capacity to act if necessary. NATO members primarily resource the alliance indirectly by committing military capabilities and troops committed to military operations. Direct contributions to collective budgets and programmes make up around 0.3% of total allied defence spending.⁴⁸

NATO spending targets are expressed as a percentage of Gross Domestic Product (GDP). The first NATO target for members to commit a minimum of 2% of their GDP to defence spending was introduced in 2006, although it was not until 2024 that most NATO members were meeting this target.⁴⁹

More recently, at the 2025 NATO summit, members agreed to increase the minimum share of GDP spent on core defence requirements to 3.5% by 2035. Members also agreed to spend a further 1.5% of GDP on defence and security-related investments, thus bringing total defence spending to 5% of GDP.

⁴⁵ [Malcolm Chalmers, Osborne's Summer Surprise for Defence](#), RUSI, 11 August 2015, p5; also discussed in Defence Committee, [Shifting the goalposts? Defence expenditure and the 2% pledge](#), 21 April 2016, chapter 2 (What constitutes "2%"?)

⁴⁶ Defence Committee, [Shifting the goalposts? Defence expenditure and the 2% pledge](#), 12 April 2016, HC 494 2015-16, para 11

⁴⁷ NATO, [The North Atlantic Treaty](#), updated 19 October 2023

⁴⁸ NATO, [Funding NATO](#), updated 3 September 2025

⁴⁹ NATO, [Defence Expenditure of NATO Countries \(2014-2025\)](#), 28 August 2025, Table 3

NATO does not impose sanctions or penalties on countries that do not meet its spending targets.

The 2% target is discussed in further detail below, and the 3.5% target in section 2.1 of this briefing.

The NATO 2% target

In 2006, NATO allies set a target (or guideline) to spend at least 2% of GDP on defence to help ensure the alliance's continued military readiness, while also serving as a way that countries can show their political commitment to NATO:

This guideline also serves as an indicator of a country's political will to contribute to NATO's common defence efforts since the defence capacity of each member has an impact on the overall perception of the Alliance's credibility as a politico-military organisation.

[...]

While the 2% of GDP guideline alone is no guarantee that money will be spent in the most effective and efficient way to acquire and deploy modern capabilities, it remains, nonetheless, an important indicator of the political resolve of individual Allies to devote to defence a relatively small but still significant level of resources.⁵⁰

A second target agreed by NATO allies was that 20% of defence expenditure should go towards the research, development, and acquisition of major defence equipment.

Why was the target important?

The introduction of the 2% target was perceived as an attempt to address the imbalance between the contribution of the United States and NATO's European members: the US has historically spent a far greater percentage of its GDP on defence than any of the European members.⁵¹

There is no intrinsic significance to the level of 2% of GDP for defence spending (or to the new 3.5% target): the figure does not represent a critical threshold or 'tipping point' in terms of defence capabilities. As acknowledged in the NATO statement above, spending 2% of GDP on outdated or inefficient systems and capabilities is unlikely to significantly change the overall capacity of NATO to take or sustain military action. Equally, the difference between a country spending 2.02% and 1.98% of GDP, for example, is marginal.

However, NATO spending targets are both symbolically and politically important. Over the years, the US has repeatedly called on European allies to contribute more.

⁵⁰ NATO, [Funding NATO](#), updated 28 October 2023 [now superseded]

⁵¹ As above

NATO allies' commitments to the target since 2014

In recent years, NATO members have significantly stepped up their defence spending in response to Russia's annexation of Crimea in 2014 and events in Ukraine since.

At the NATO Summit in Wales in September 2014, allies agreed to reverse the trend of declining defence budgets and aim towards the NATO guideline of spending 2% of GDP on defence expenditure within a decade. Allies agreed in the [Summit Declaration](#) that those who already spend a minimum of 2% will "aim to continue to do so", while those who don't will halt any decline in defence expenditure and aim to move towards 2% within the agreed timeframe.⁵²

At an extraordinary summit (outside the usual timetable) in Brussels in March 2022, held following Russia's full-scale invasion of Ukraine, NATO members agreed to "accelerate our efforts to fulfil our commitment to the Defence Investment Pledge in its entirety".⁵³ The pledge is a reference to the commitments made in 2014.⁵⁴

As shown on the chart below, based on the latest NATO estimates of defence expenditure, all member states are expected to meet or exceed the 2% spending target in 2025. This is up from three members in 2014.⁵⁵

All member states have increased defence expenditure as a share of GDP since 2014, except for the United States, although the US has continued to consistently spend well above 2% of GDP on defence (in 2025 it is expected to spend 3.2%).⁵⁶

Countries with the largest increases in defence expenditure as a percentage of GDP compared with 2014 include Lithuania, Latvia and Poland. These countries are all estimated to have increased defence spending as a share of GDP by at least two percentage points.

NATO members (excluding the US) expect to spend an average of 2.3% of GDP on defence in 2025. If this is achieved, this will be the first time that these allies will have collectively met the 2% target. This group's spending as a share of GDP has increased in almost every year since 2015 (up from 1.4%), with the largest increase expected between 2024 and 2025.

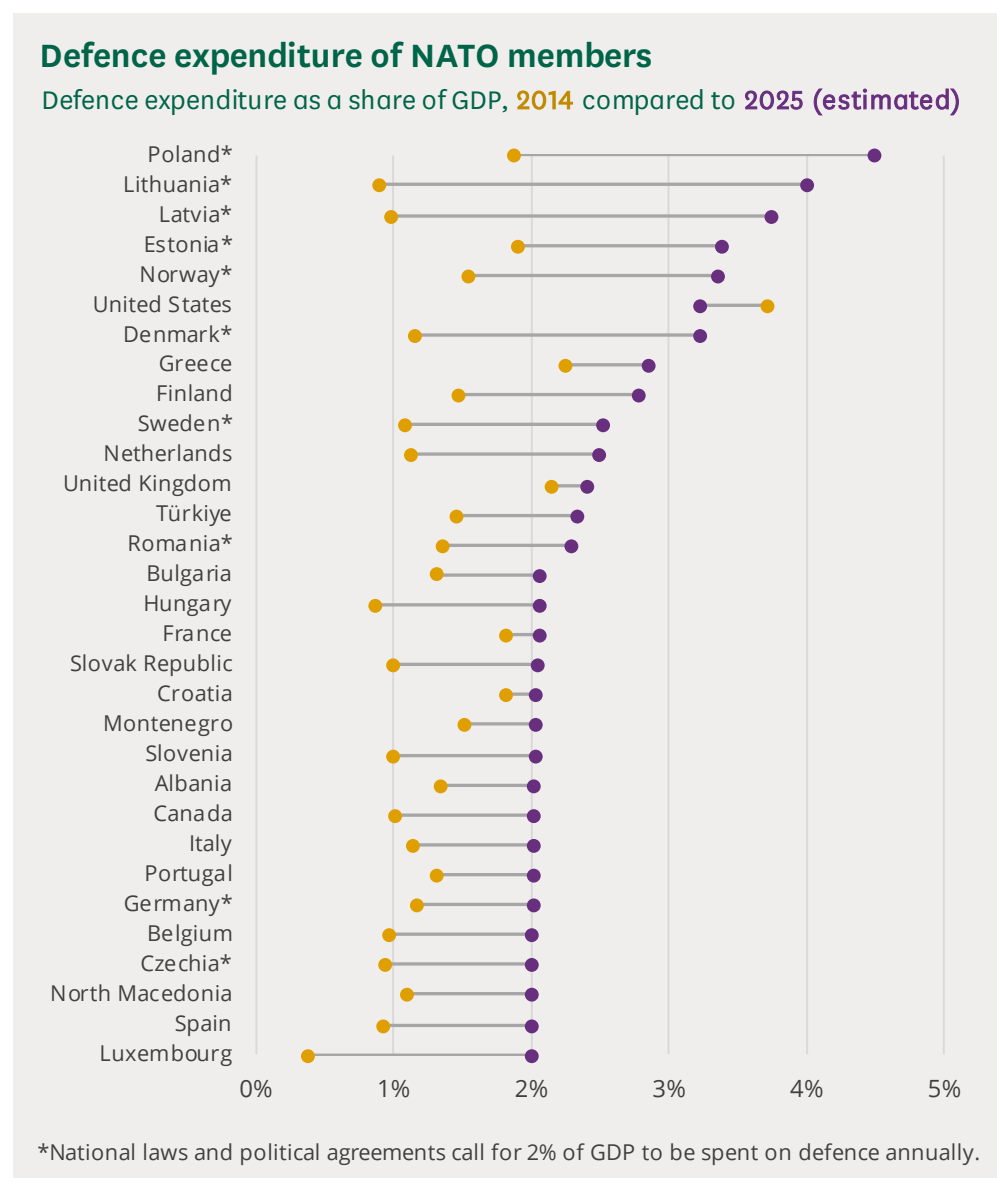
⁵² NATO, [Wales Summit Declaration](#), 5 September 2014 (updated 30 August 2018)

⁵³ NATO, [Statement by NATO Heads of State and Government](#), 24 March 2022

⁵⁴ For further information, see: NATO, [Funding NATO](#), updated 14 3 September 2025

⁵⁵ NATO, [Defence expenditures and NATO's 5% commitment](#), updated 27 August 2025

⁵⁶ NATO, [Defence Expenditure of NATO Countries \(2014-2025\)](#), 28 August 2025, Table 3



Note: Excludes Iceland, which has no armed forces. 2025 figure for Germany is not available, so 2024 figure have been used instead.

Source: NATO, [Defence Expenditure of NATO Countries \(2014-2025\)](#), 28 August 2025, Table 3

Poland has spent the highest share of GDP on defence among NATO members since 2023. In 2025 it is expected to spend 4.5% of GDP on defence, exceeding the new 3.5% target several years ahead of the 2035 deadline. The only other countries expected to be spending 3.5% of GDP or above on defence by 2025 are Lithuania (4.0%) and Latvia (3.7%).

UK defence spending in relation to the 2% target

The UK remains has consistently met the 2% target each year since it was first introduced. The latest NATO figures show that the UK is expected to spend 2.4% of GDP on defence in 2025, ranking it 12th out of NATO members on this

measure. Spending has increased in recent years after a period of hovering just above the 2% mark between 2015 and 2019.⁵⁷

However, when looking at the real-terms change in defence spending since 2014, the Royal United Services Institute (RUSI) think tank has pointed out that the UK has had one of the slowest rates of increase of any NATO country.⁵⁸

Between 2014 and 2025, real-terms UK defence spending (according to the NATO definition) increased by 30%, compared with an average increase of 109% for all other European NATO members. The only countries with a slower rate of growth were the US (13%) and France (28%).⁵⁹

In recent years, the UK has made several commitments to increase defence spending as a share of GDP (as discussed in section 2.1 of this briefing).

The UK has traditionally held the position of second-largest spender on defence in NATO in absolute terms, after the US, but in 2024 it was overtaken by Germany (which spent an estimated \$93.7 billion, compared with the UK's \$84.2 billion). However, when measuring expenditure as a percentage of GDP, the UK ranks higher than Germany (2.3% compared with 2.0% in 2024).⁶⁰

Ministry of Defence comparative information

Separately, the MOD publishes annually [comparative information on UK defence spending and that of other countries](#) which includes a comparison of two international defence spending data sources, the Stockholm International Peace Research Institute (SIPRI) and the International Institute for Strategic Studies (IISS).

⁵⁷ NATO, [Defence Expenditure of NATO Countries \(2014-2025\)](#), 28 August 2025, Table 3

⁵⁸ RUSI, [Bracing for 2025: The UK and European Security Under a Trump Presidency](#), 28 March 2024, p23

⁵⁹ NATO, [Defence Expenditure of NATO Countries \(2014-2025\)](#), 28 August 2025, Table 4. The average figure for all other European NATO members includes countries which joined NATO after 2014 (Montenegro, North Macedonia, Finland and Sweden). 2025 figure for Germany is not available, so 2024 figure have been used instead.

⁶⁰ NATO, [Defence Expenditure of NATO Countries \(2014-2025\)](#), 28 August 2025, Table 3. 2025 defence expenditure data for Germany is not available, so 2024 data has been used instead.

5

Equipment spending

The Ministry of Defence (MOD) spends billions each year on equipment for the armed forces.

It published an annual [Defence Equipment Plan](#) from 2012 to 2022, setting out budget allocations and forecasted expenditure over a rolling 10-year period. This included spending on both the procurement of new equipment and support costs for equipment that is already in use.

In 2023 the department published an affordability analysis of its equipment plan, but did not publish a full report. The rationale was that it needed to work through the consequences of the 2023 Defence Command Paper, and to further understand how to mitigate the impacts of inflation.⁶¹

The Labour government said it would not be publishing an equipment plan for 2024 while it awaited the conclusion of the ongoing Strategic Defence Review and the upcoming Spending Review, both of which transpired in June 2025. The government said it would use this pause as an opportunity to re-evaluate its approach to reporting on its equipment spending plans.⁶²

The Strategic Defence Review announced plans for a new 10-year Defence Investment Plan, which is due in autumn 2025. This will “deliver the SDR’s vision” and supersede the Defence Equipment Plan.⁶³ The MOD has said that, for the first time, this new plan will cover the “full scope of the defence programme, from people and operations to equipment and infrastructure”.⁶⁴

5.1

Was the last Defence Equipment Plan affordable?

In the [Equipment Plan for 2023 to 2033](#), the MOD allocated £288.6 billion to spending on equipment and support over this ten-year period, accounting for 49% of the entire defence budget.

⁶¹ [Corrected letter from the MOD Permanent Secretary to the chair of the Public Accounts Committee regarding an update on the affordability of the Equipment Plan 2023 – 2033](#) (PDF), 4 December 2023

⁶² [Letter from Maria Eagle \(Minister for Defence Procurement and Industry\) to Sir Geoffrey Clifton-Brown \(Chair of the Public Accounts Committee\)](#) (PDF), 13 November 2024

⁶³ MOD, [Strategic Defence Review](#), 2 June 2025

⁶⁴ [PQ 904908 \[Defence: Investment\]](#), answered 30 June 2025

This was a £46.3 billion (19%) increase compared with the previous year's plan, which covered the period 2022 to 2032.

However, this budget increase was outstripped by a £65.7 billion (27%) rise in forecasted costs for planned equipment projects, which totalled £305.5 billion as of March 2023. This equated to a £19.6 billion funding shortfall, based on central estimates, although the MOD estimated that the true shortfall could range from £7.6 billion to £29.8 billion if all risks materialised.

This was the largest deficit between the MOD's equipment budget and its military capability requirements since the first equipment plan was published in 2012.

The 2023 equipment plan was the first to provide a breakdown of the forecast budgets and costs of nuclear and conventional capabilities. Forecast costs for the nuclear deterrent were £7.9 billion more than the allocated budget, while costs for conventional equipment were £9 billion over budget.⁶⁵

National Audit Office assessment

The National Audit Office (NAO) was responsible for independently scrutinising each equipment plan and would publish its own report alongside the MOD's. In recent years the NAO assessed successive plans to be unaffordable.

The NAO noted a "marked deterioration" in the financial position of the 2023 equipment plan compared with the previous years'. The largest cost increases were at the Defence Nuclear Organisation, which had risen by £38.2 billion (62%) compared with the previous plan. This was followed by the Royal Navy, 20% of whose budget for 2023/24 was for nuclear projects, where costs had risen by £16.4 billion (41%).⁶⁶

Maintaining the nuclear deterrent is the MOD's highest priority and funding for this was ringfenced in 2023. However, the NAO drew attention to the additional pressure placed on projects that are not included in the ringfence, from which cost savings would have to be made to address the plan's funding shortfall. Other capabilities that have a role in supporting the nuclear deterrent but are not included in the ringfence were also being prioritised.⁶⁷

The NAO also highlighted the impact of high inflation on costs, which the MOD had not received any additional funding to cover. It said this had not been fully reflected in the previous plan, which was based on financial data up to March 2022. Inflation accounted for £10.9 billion of the estimated cost increase in the 2023 plan.⁶⁸

⁶⁵ NAO, [The Equipment Plan 2023 to 2033](#), 4 December 2023, p13, para 1.6

⁶⁶ As above, p17, para 1.8

⁶⁷ As above, p38–39

⁶⁸ As above, p32, para 2.2

Parliamentary scrutiny of the Defence Equipment Plan

The Public Accounts Committee (PAC) would take evidence on the Defence Equipment Plan using information provided by the NAO and produce its own report.⁶⁹

In its [most recent report on the Equipment Plan for 2023 to 2033](#), the PAC criticised the MOD for failing to make what it deemed to be difficult but necessary choices in order to balance its budget. It argued that the MOD had instead based its decision making on the assumption that defence spending would increase to 2.5% of GDP, for which there was no planned schedule at the time.⁷⁰

The PAC also warned that the real budget deficit could be even larger than the Equipment Plan suggested because it did not include estimated costs for all the capabilities the government expected the MOD to deliver.⁷¹

The Conservative government did not respond to the PAC report before the end of the last Parliament.

Response to decision not to publish an Equipment Plan

In January 2025, the chairs of the Defence Select Committee and the Public Accounts Committee (PAC) wrote to the MOD's Permanent Secretary to express their dissatisfaction with the lack of an equipment plan for either 2023 or 2024. The Chairs said that despite the government's commitment to increase transparency to Parliament, "the reality is that transparency on acquisition, expenditure and capability has decreased".⁷²

The chairs said they were concerned that the MOD had "effectively prevented the NAO from producing its EP [equipment plan report] for 2024 by not supplying it with the information necessary to support this process, even along the lines followed in 2023".⁷³

In a report on the future of the equipment plan, published on 20 June 2025, the PAC said it was "unacceptable" that the MOD had not provided Parliament with detailed equipment spending plans since its 2023 update. It also said that while the SDR says a new defence investment plan will supersede the equipment plan, "the ongoing lack of details means we cannot judge how adequate a replacement this might be".⁷⁴

⁶⁹ Past reports can be found on the [PAC website](#).

⁷⁰ PAC, [MoD Equipment Plan 2023–2033](#) (summary), HC 451 2023–24

⁷¹ PAC, [MoD Equipment Plan 2023–2033](#) (summary), HC 451 2023–24

⁷² [Joint letter dated 28th January from Defence Committee and Public Accounts Committee Chairs to the Permanent Secretary regarding the Defence Equipment Plan](#) (PDF), 28 January 2025

⁷³ [Joint letter dated 28th January from Defence Committee and Public Accounts Committee Chairs to the Permanent Secretary regarding the Defence Equipment Plan](#) (PDF), 28 January 2025

⁷⁴ PAC, [The future of the equipment plan](#), 20 June 2025, HC 716 2024–25

The PAC called on the MOD to provide it with:

- a written update during Parliament’s September 2025 sitting on its progress in converting the SDR’s ambitions into a deliverable plan; and
- an update on its final implementation plan before the Christmas 2025 recess.⁷⁵

The committee also asked to be provided with a “fully worked out proposal for how it will update Parliament each year about its equipment procurement and support plans” during Parliament’s September 2025 sitting.⁷⁶

5.2 How much is being spent on the Defence Nuclear Enterprise?

In 2023, changes were made to the funding arrangements for the nuclear deterrent. All nuclear programmes and expenditure across the MOD, including annual in-service costs of the nuclear deterrent (£3 billion in 2022/23), have now been brought under one heading: the Defence Nuclear Enterprise (DNE).

That spending has also been ringfenced within the departmental budget, reflecting the increasing interdependence between the nuclear deterrent and the Royal Navy’s other conventional nuclear-powered submarine programmes, including the new AUKUS-SSN being developed in conjunction with the US and Australia.⁷⁷ This is particularly relevant to costs associated with basing, infrastructure and nuclear propulsion. DNE spend now appears as a single line in the departmental estimates.

In making this change, the MOD said it would provide greater flexibility in the Dreadnought programme and allow the department to “deliver programmes related to the nuclear deterrent on schedule”. Ringfencing the nuclear budget would also allow the department to “insulate” the rest of the defence equipment plan from any changes in the profile of nuclear spending.⁷⁸

In 2024/25, spending on the DNE totalled £10.9 billion, making up 18% of the total defence budget. Spending plans set out in the MOD Main Estimate for 2025/26 indicate that this is set to increase to £11.8 billion in cash terms,

⁷⁵ PAC, [The future of the equipment plan](#), 20 June 2025, HC 716 2024-25

⁷⁶ As above

⁷⁷ Ministry of Defence, [Letter to the Chair of the Public Accounts Committee, Equipment Plan 2023-2033: Update on affordability](#), 4 December 2023 and National Audit Office, [The equipment plan 2023-2033](#) (PDF), HC315, December 2023

⁷⁸ MOD, [Letter to the Chair of the Public Accounts Committee, Equipment Plan 2023-2033: Update on affordability](#), 4 December 2023

although these plans may be revised at the Supplementary Estimates towards the end of the financial year.⁷⁹

In the last Defence Equipment Plan, spending on nuclear programmes across the whole plan over the next ten years (2023 to 2033) was forecast at £117.8 billion, of which £109.8 billion had been budgeted for, leaving a £7.9 billion deficit.⁸⁰ More recently, in June 2025, the government said the current forecast for DNE spend over the same period had increased by about £10 billion (to approximately £128 billion).⁸¹

In its report on the future of the equipment plan, the PAC said rising DNE costs were due to “a combination of the Department trying to speed up the work schedule and adding new programmes to it, and inflation”. It also noted that increasing nuclear costs may restrict the money available for conventional equipment and other important requirements, such as improving poor service accommodation.⁸²

The committee made the following recommendation to the department on its reporting of DNE costs to Parliament:

The Department’s annual update to Parliament on the DNE should provide details of its planned costs, including:

- the proportion of the defence budget this comprises;
- an explanation of any variances from the previous year’s plan; and
- budgets moving between years or from the wider defence budget into the DNE ringfence.⁸³

⁷⁹ MOD, Memorandum for the Ministry of Defence Main Estimate 2025/26, June 2025, Table 7

⁸⁰ MOD, [The defence equipment plan 2023: Supplementary data tables](#), February 2024

⁸¹ [PQ 58561 \[Defence Nuclear Enterprise\]](#), answered 13 June 2025

⁸² Public Accounts Committee, [The future of the equipment plan](#), 20 June 2025, HC 716 2024-25

⁸³ As above

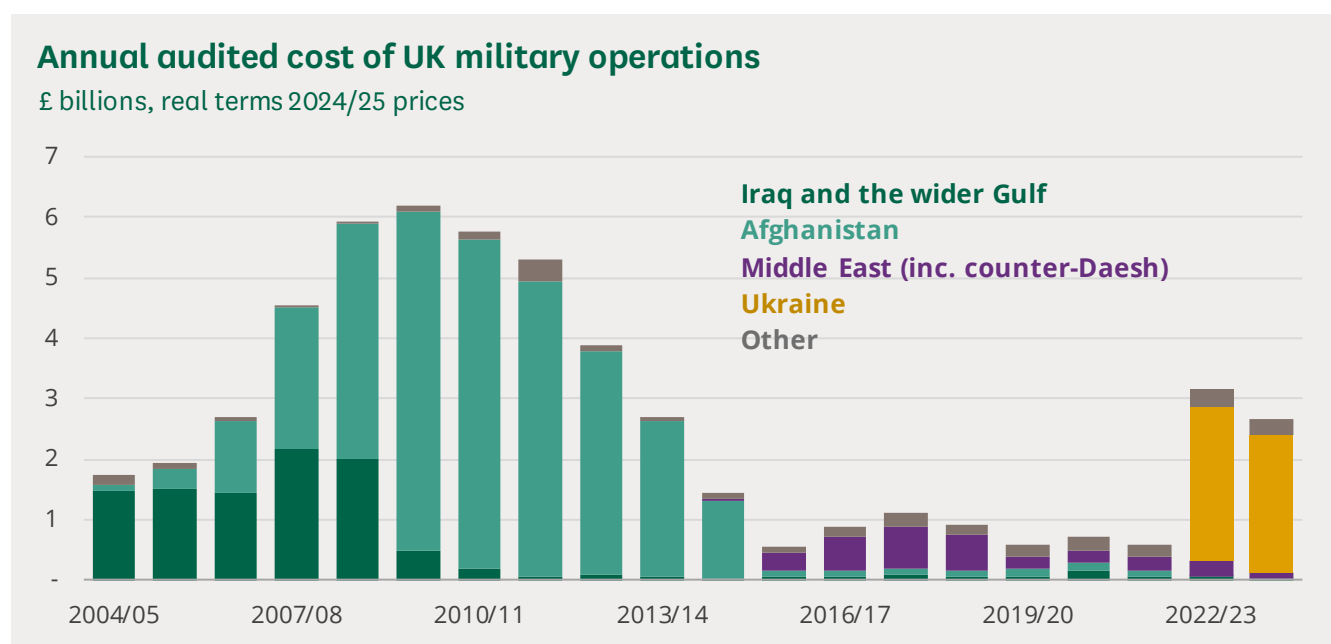
6

Military operations

The Ministry of Defence (MOD) publishes information on the cost of military operations and interventions undertaken by the UK armed forces.

The cost of these operations is reported in terms of the net additional cost. These are costs over and above those that the MOD would have been incurred if the operation had not been undertaken, for example, expenditure on pay. This is offset by savings arising from the deployment of troops, for example due to cancelled training exercises.⁸⁴

The chart below shows the cost of military operations between 2004/05 and 2023/24.



Note: GDP deflator growth for 2020/21 and 2021/22 has been averaged across the two years to smooth distortions caused by pandemic-related factors.

Source: MOD, [Defence departmental resources: 2024](#), Table 7; HM Treasury, [GDP deflators at market prices, September 2025 \(Quarterly National Accounts\)](#)

Over the period shown, expenditure on military operations peaked in 2009/10, when around £6.2 billion was spent (in 2024/25 prices). As is shown in the chart above, most of this was spent on operations in Afghanistan (91%).

⁸⁴ MOD, [Defence departmental resources: 2024](#), 28 November 2024

For more on UK support for Ukraine, see the Library briefing, [Detailed timeline of UK military assistance to Ukraine \(February 2022-present\)](#)

Between 2015/16 and 2021/22, operational costs were substantially lower than in earlier years. Expenditure increased considerably in 2022/23 when the UK began providing military support to Ukraine in relation to its ongoing conflict with Russia. Support to Ukraine has totalled over £2 billion in each of the last two years (£2.4 billion in 2022/23 and £2.2 billion in 2023/24, in current prices).

In 2023/24 expenditure on military operations amounted to £2.7 billion in real terms (2024/25 prices), making up around 5% of total MOD expenditure. Operational expenditure was 15% lower in real terms than the previous year (£3.1 billion).

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